LOANLENS — FREQUENTLY ASKED QUESTIONS (FINANCIAL TERMS EXPLAINED)

For the Indian home loan market. Source documents: RBI (Regional Rural Banks – Credit Facilities) Directions, 2025 and SBI Home Loan product sheet.

1. LTV Ratio (Loan-to-Value Ratio)

LTV equals the loan amount divided by the property value, multiplied by 100. It tells the lender how much of the property's value is being financed by the loan. A higher LTV means higher risk for the bank because the borrower has less of their own money at stake. For example, if a property is worth Rs. 50 lakh and the loan is Rs. 40 lakh, the LTV is 80 percent. Under RBI rules, the LTV cap is 90 percent for loans up to Rs. 20 lakh, 80 percent for loans between Rs. 20 lakh and Rs. 75 lakh, and 75 percent for loans above Rs. 75 lakh. Under SBI rules, the LTV cap is 90 percent for loans up to Rs. 30 lakh, 80 percent for loans between Rs. 30 lakh and Rs. 75 lakh, and 75 percent for loans above Rs. 75 lakh.

2\. Risk Weight

Risk weight is the percentage of a loan that a bank must hold as capital reserve. A lower risk weight means less capital is tied up and the loan is cheaper for the bank to hold. According to the RBI document, home loans up to Rs. 20 lakh and loans between Rs. 20 lakh and Rs. 75 lakh carry a risk weight of 50 percent, while home loans above Rs. 75 lakh carry a risk weight of 75 percent.

3\. EBLR (External Benchmark Lending Rate)

EBLR is a floating interest rate benchmarked to an external rate. In India, this external rate is the RBI REPO rate. When the REPO rate changes, the home loan interest rate changes automatically. SBI links its home loans to EBLR.

4\. REPO Rate

The REPO rate is the rate at which the central bank, the RBI, lends money to commercial banks. It is the anchor for EBLR-linked loans.

5\. Floating versus Fixed Interest Rate

A floating interest rate changes with the benchmark rate, such as the REPO or EBLR, and the EMI or tenure adjusts accordingly. A fixed interest rate stays constant for a set period.

6\. EMI (Equated Monthly Instalment)

EMI is the fixed monthly payment that covers both principal and interest over the loan tenure. The formula is EMI equals P multiplied by r multiplied by (1 plus r) raised to the power n, divided by [(1 plus r) raised to the power n minus 1], where P is the principal, r is the monthly interest rate, and n is the number of months.

7\. Principal and Interest

The principal is the original loan amount borrowed. The interest is the cost of borrowing, charged on the outstanding principal. In SBI's case, interest is calculated on a daily reducing balance.

8\. Daily Reducing Balance

Interest is calculated on the outstanding balance each day. As the borrower repays, the interest burden falls, which makes it cheaper than flat-rate interest.

9\. Pre-closure and Pre-payment Charges

A pre-closure or pre-payment charge is a penalty for repaying the loan early. SBI charges zero pre-closure penalty on floating-rate home loans, regardless of the source of funds or how long the loan has been running.

10\. Processing Fee

A processing fee is a one-time fee charged by the lender to process the loan application. For SBI, this is 0.35 percent of the loan amount, with a minimum of Rs. 5,000 and a maximum of Rs. 15,000 for salaried customers, or Rs. 18,000 for non-salaried customers, plus GST.

11\. Penal Charges and Penal Interest

Penal charges are extra charges for late payment or irregularity. For SBI, the penal charge is 2.40 percent per annum for irregularity up to 60 days, and 5 percent per annum beyond 60 days, applied on the irregular portion.

12\. GST

GST is the Goods and Services Tax in India. It is added on top of fees and charges.

13\. Mortgage (Equitable and Registered)

An equitable mortgage is created by depositing title deeds with the bank, and no registration is needed. A registered mortgage is formally registered with the land registry and is used when an equitable mortgage is not possible. In both cases, the bank holds the property as security until the loan is fully repaid.

14\. Collateral and Security

Collateral is an asset pledged to secure a loan. The primary security in a home loan is the mortgaged property itself. Collateral can also include life insurance policies, government promissory notes, shares or debentures, or gold ornaments.

15\. Interim Security

Interim security is temporary security, such as a third-party guarantee, taken when the mortgage cannot be created immediately.

16\. Guarantor

A guarantor is a third party who promises to repay the loan if the borrower defaults.

17\. Co-applicant

A co-applicant is a person, often a spouse or family member, who applies jointly with the borrower. Their income is counted for eligibility, and they are jointly liable for the loan.

18\. KFS (Key Fact Statement)

A Key Fact Statement is a standardized one-page summary of the loan covering the amount, rate, APR, fees, and penal charges. It is mandated by the RBI so that borrowers can compare offers fairly.

19\. APR (Annual Percentage Rate)

APR is the true annual cost of the loan, including interest and fees, expressed as a single percentage. It is better than the nominal interest rate for comparing loans.

20\. Cooling-off Period

A cooling-off period is a short window, at least one day under RBI digital lending rules, during which a borrower can exit a digital loan by paying the principal and the proportionate APR with no penalty.

21\. Tenor and Tenure

Tenor or tenure is the duration of the loan. For an SBI home loan, the maximum is 30 years, or until the borrower reaches the age of 70, whichever is earlier. For Privilege and Shaurya products, repayment is allowed up to the age of 75.

22\. Moratorium

A moratorium is a period during which EMI payments are paused or reduced, for example during construction. SBI Flexipay offers a step-up moratorium.

23\. Bullet Repayment Loan

A bullet repayment loan is a loan where both principal and interest are paid in one lump sum at maturity, rather than in EMIs.

24\. Top-up Loan

A top-up loan is an additional loan sanctioned on top of an existing loan, using the same collateral. It must remain within the permissible LTV, and the existing loan must be classified as standard and not overdue.

25\. Balance Transfer and Take Over

A balance transfer or take over means moving an existing home loan from one lender to another, usually to get a lower interest rate. SBI offers a Home Loan Take Over, also called a Balance Transfer.

26\. Overdraft Facility

An overdraft facility is a credit line where the borrower can withdraw up to a limit and pays interest only on the amount used. SBI Maxgain is an overdraft-style home loan in which surplus funds reduce the interest.

27\. NRI Home Loan

An NRI home loan is a home loan for Non-Resident Indians. It is subject to FEMA rules and usually requires higher documentation.

28\. CERSAI

CERSAI is the Central Registry of Securitisation Asset Reconstruction and Security Interest in India. Mortgages above a certain threshold must be registered here. The fee is small, between Rs. 50 and Rs. 100 plus GST.

29\. CIBIL and Credit Bureau

CIBIL and other credit bureaus are Credit Information Companies that hold a borrower's credit history. Lenders report loan performance to them and query the credit report before sanctioning a loan.

30\. Default

Default is failure to pay an EMI on the due date. It triggers penal charges, recovery agents, and a negative credit-bureau record.

31\. NPA (Non-Performing Asset)

An NPA is a loan where principal or interest is overdue beyond a set period, typically 90 days. The bank must provision capital against it.

32\. DLG (Default Loss Guarantee)

A Default Loss Guarantee is a contractual arrangement where a third party compensates the bank for losses up to a capped percentage of a loan portfolio. Under RBI rules, this is capped at 5 percent of the disbursed portfolio.

33\. LSP (Lending Service Provider)

An LSP is an agent of a bank that performs digital-lending functions such as customer acquisition, underwriting support, servicing, and recovery. The bank remains fully liable for the LSP's acts.

34\. DLA (Digital Lending App or Platform)

A DLA is a mobile or web app that facilitates digital lending. It must be reported to the RBI's CIMS portal.

35\. Microfinance Loan

A microfinance loan is a collateral-free loan to a household with an annual income of up to Rs. 3,00,000. Repayment obligations are capped at 50 percent of the monthly household income.

36\. Sanctioned Limit

The sanctioned limit is the maximum loan amount the bank has approved. Penal charges for delayed mortgage creation are sometimes calculated on the sanctioned limit.

37\. Disbursement

Disbursement is the release of loan funds. SBI disburses directly to the builder or seller, and in stages for construction loans, only after the security documents are executed and the mortgage is created.

38\. Dynamic SI and NACH Mandate

A dynamic SI or NACH mandate is an auto-debit instruction authorising the bank to debit the EMI. SBI takes a mandate for 120 percent of the actual EMI to allow for rate rises, but debits only the actual EMI.

39\. Safe Custody Charges

Safe custody charges are a fee for storing original title deeds if the borrower does not collect them within the prescribed period after loan closure. For SBI, this is Rs. 1,000 plus GST per quarter.

40\. Switch-over Fee

A switch-over fee is a fee to move from one interest-rate regime to another, for example from MCLR or base rate to EBLR. For SBI, this is Rs. 5,000 plus GST.

41\. MCLR, Base Rate, and SBAR

MCLR, base rate, and SBAR are older Indian benchmark rates that EBLR replaced. Loans on these old benchmarks can be switched to EBLR by paying the switch-over fee.

42\. Intrinsic Value

Intrinsic value is the actual value of the gold or silver content in an item, excluding making charges, stones, or design premium. It is used for gold-loan LTV calculation.

43\. Reference Price for Gold and Silver

The reference price is the lower of the 30-day average closing price or the previous day's closing price, for the specific purity, as published by IBJA or a SEBI-regulated exchange. It is used to value gold collateral.

44\. Caratage and Purity

Caratage is the purity of gold, for example 22 carat equals 91.6 percent pure. Valuation is based on the actual purity of the pledged item.

45\. Priority Sector Lending

Priority Sector Lending is an RBI mandate that banks must lend a minimum percentage of their total credit to specified sectors such as agriculture, micro enterprises, and weaker sections. For Regional Rural Banks, the target is 75 percent of total lending.

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